

ECONOMICS (EM) NOTES FOR 1st YEAR CLASS (PUNJAB)

Chapter I

NATURE AND SCOPE OF ECONOMICS

INTRODUCTION OF ECONOMICS

Since the inception of life on this earth, wants and needs have been hovering the mind of man. Man till death cannot get rid off these wants and necessities. Man have been struggling and endeavoring to fulfill his basic needs and necessities like housing, food, clothing, since then when Hazrat Adam has stepped on this earth. Initially, man lived in caves, hunted animals and used leaves of bushes and trees to cover his body. Then he started living near fertile valleys on river sides. He started raring cattles and animals to receive milk, meat and skins from these animals.

This laid down the foundations of villages and division of profession into different categories. With the scientific innovation and inventions man entered in the era of mechanization. He then started perusing comforts in life and Luxuries afterwards. This infinite race between the wants and man is still continuing and will continue till the existence of a single person on this earth.

If we look around us, we can hear the voice of tractor working in the fields, fastly running buses and cars on the road, day and night functioning factories, pouring lot of smoke out of their chimnes, people running fastly to their offices and educational institutions early in the morning, whats the secrets in all this hustle and bustle? Lets divulge this secret. All these efforts are being made to make the best and efficient use of these scarce resources in order to fulfill maximum needs and necessities of human beings. These efforts of men are known as economic efforts and this is the subject matter of economics.

DEFINITION OF ECONOMICS

The word Economics has been derived from the Latin words "Oiko Nomos" which means household budget. This explains how the persons of a house manage to earn money and spend it. Later on this word was used on state called "Polos". This explains that how the people of a state use to spend their lives and earn means of living. For this reasons it was better called as "political economy". However these two words were separated and became separate disciplines. The first one became political science and later one the subject of economics.

The evolution of the definition of Economics has passed through various stages. However it can be broadly classified into three schools of thought.

- (i) Classical school of thought (1723 – 90)
- (ii) Neo-classical school of thought (1842 – 1924)
- (iii) London School of Economics

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CLASSICALS SCHOOL OF THOUGHT

This was led by Adam Smith of Scotland who in 1776 wrote a research treatise. "An inquiry into the nature and causes of wealth of National's" briefly known as "Wealth of Nations". He for the first time introduced economics as a separate discipline different from political economy. According to his views, Economics is a social science which deals with the production, consumption, distribution and exchange of wealth.

So these views declared four pillars of the definition of Economics as under:

(i) Production of Wealth

This means how and in what proportion the four factors land, labour, capital and organization be combined to produce goods and services which is called wealth.

(ii) Consumption of Wealth.

The part of the wealth used to fulfill basic needs of human life is called consumption. We spent our income in that direction from where we can derive maximum utility.

(iii) Distribution of Wealth

This means how the four factors are paid according to their contribution in the form of rent, wages, interest and profit.

(iv) Exchange of Wealth

This means how the wealth is exchanged from one hand to another similarly, how wealth is exchanged between the two countries in the form of trade.

The other contemporary classical economists, who followed Adam Smith's explanation of Economics were J.S. Mill, N.W. Senior, Malthus, Ricardo, and American Economist F.A. Walker. They also called Economics as a science of wealth and man uses it to fulfill his basic needs.

MISCONCEPTION

This explanation of Economics by Adam Smith created many misconceptions among people. They started calling this science as "Pig Philosophy" and "Dismal Science". According to them the study of Economics is going to generate a very selfish society in which everyone is busy in producing and consuming wealth, so what about human values. Among those critics were "Ruskin" and "Carlyle".

CLARIFICATION OF MISCONCEPTION

Actually the critics would have not fully comprehended the meaning of wealth and it's explanation as given by Adam Smith. They mistakenly believed wealth money alone as wealth whereas anything which carry utility, scarcity, and transferability is called wealth. Wealth by itself is not bad or good but it's use make it so. It can either be spent on necessities or luxuries, on welfare projects or on wasteful projects. Hence there is no harm to say Economics as a science of wealth.

NEO-CLASSICAL SCHOOL OF THOUGHT (1842 – 1924)

This was led by Alfred Marshall of Cambridge University who defined economics in a new way with the concept of welfare. His followers were Pigou, Canon, Pareto and J.B.Clark. For this reason they are called "Welfare Economists" According to Pigou.

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“Economics relates to that part of social welfare which can directly or indirectly be measured by money”

Alfred Marshall in 1890 wrote a book “Principles of Economics” in which he defined economics as “Economics is a science which studies human behaviour which is related with the ordinary business of life. It deals with that part of individual and collective human efforts which is closely related with the attainment or with the use of material requisites of well being. So we can say that economics on one hand is science of wealth while on the other hand it is the study of an aspect of human life.”

IMPORTANT POINTS

- (i) Economics includes the economic activities of those people living in societies and not of those living in far flung area like Robinson cruse, saint etc.
- (ii) It includes only “material welfare” of human beings not non-material welfare. It includes both individual and collective efforts of man.
- (iii) The purpose of every economic effort of the human being should be the material welfare. So Economics relates to that part of wealth which is concerned with the “material welfare”

MERITS

1. Social science

Economics is a social science and it's aim is to uplift human welfare.

2. Individual and Collective Efforts

It includes both individual and collective efforts of man kind for enhancing welfare.

3. Daily routine activity

It studies the daily routine activities of life and does not focus on particular activities.

4. Simple and comprehensive

This definition is simple and clearly explains the subject matter of economics

5. Coincides with Modern Definitions

Focusing human welfare made this definition relevant with the modern explanations of economics

6. Wealth as a source of material welfare

The main objective of wealth is not to generate further wealth but create material welfare.

DEMERITS

Lionel Robbins and other critics made following criticism:

1. Economic problems of all persons are not covered

They said that any person whether living in a society or aloof has to face economic problems. So persons living aloof cannot be excluded from the scope and extent of economics

2. Division is not rational

Division of activities into “material” and “non-material” is irrational of means that people who are rendering services are not included in the scope of economics. It

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means production of material goods is related with human welfare but services has nothing to do with human welfare.

3. Limited Scope

This definition by excluding the services from economic activities has made the scope of economics very limited.

4. Concept of Welfare is not Clear

A smoker can have greater utility is smoking whereas, others may not. Similarly if a person earns money by selling some edictions or toxic goods for which some persons have utility, how these activities can be excluded from economic activity, because these are going to fulfil the needs for someone.

5. Utility is not measurable

Utility is a state of mind it cannot be measured is numbers or units. It varies from person to person so it cannot be used as the basis for the measurement of welfare.

6. Economics is a neutral science.

Prof. Robbins says that Marshall has crated the problem of "good" or "bad" by using the concept of welfare. He said economics is a neutral science nothing to do with moral values of good and bad.

7. Social customs and traditions Ignored

Marshall in his explanation of material welfare ignored social customs and traditions of a society.

LONDON SCHOOL OF ECONOMICS

It was led by Prof. Robbins who in 1932 wrote his book "an Essay on the nature and significance of economic science". He defined Economics as under:-

"Economics is a science which studies human behaviour as a relationship between multiple ends and scarce means which have alternative uses" This definition has following key words.

1. Multiple Ends

Human wants are unlimited and to fulfill these wants man makes continuous efforts. These wants reoccur and human beings have to generate sources for their fulfillment such as food, housing, clothing, education, health etc. Besides these, some comforts and luxuries are also pursued which are hardly attained in the presence of limited resources.

2. Scarc Resources

If we look at our resources those are scarce in relation to our wants e.g. wheat is produced in billions of tons all over the world but if look at it's demand it becomes scarce. Whereas, rotten eggs though little in quantity are not scarce, because no one wants to buy them. So resources against wants are always scarce.

3. Alternative uses of Resources

Resources can be used alternatively i.e. land can be used either way to cultivate crops or construct houses. Money can be used to purchase food, houses, cloth or for service of

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education, health etc. So main objective of the consumer or producer is to make the best and efficient use of resources because resources are scarce. So man sets priorities of wants to be fulfilled first. Thus he uses resources alternatively to make their best use.

4. Ends differ in importance

Human wants are not equally important. Some are more important than others e.g. Treatment to a patient or food for a hungry person is more important than the want of new furniture or new air conditioner. Less important can be postponed while most important are to be fulfilled immediately.

MERITS

This definition has following merits.

1. More realistic

It is more realistic as it explains economics with unlimited wants and scarce means and resources.

2. Comprehensive and Scientific

As this definition is applied to all from common individual to special ones because everyone is encircled among unlimited wants while on the other hand resources are scarce and limited.

3. Broader Scope.

This definition has wiped out the un-natural division of material and non-material welfare as explained in Marshall's definition. It has also taken into account services in the definition of economics which were excluded in the earlier definition of neo-classical school of thought.

4. A neutral science

Economics has nothing to do with the good or bad effects of an economic activity. It remains neutral between ends.

5. Positive science.

Economics is a positive science which explains the things as they are. It is not concerned with the moral judgments of any economic activity.

6. A Natural Science

Like other physical sciences there are also laws and theories in Economics so economics like other sciences is a concrete science.

DEMERITS

In spite of its superiority over other definitions it has following demerits.

1. Not Neutral

Robbins declared Economics as natural and positive science whereas it is arguably proved that Economics is not only positive science but also normative science. Because Economists use to add their opinion as "What ought to be" rather "what they are" in Economic reasoning.

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2. Social Not Physical Science

Physical sciences are related with matter and material things. Further these sciences have permanent laws which are proved universally true except certain exceptions. But Economics is related with human behaviour which is ever changing in time and space. Its laws are applicable under certain assumptions. So it cannot be declared as a natural science.

3. Normative Science

Economics is not only positive science but also normative science. Here Economists not only explain the things as they are but also give their suggestions for improvement as "what ought to be".

4. Difficult to separate from morality

Robbins declared that economics has nothing to do with morality i.e. good or bad of any activity. Whereas Prof. Wotton said "Morality is indispensable part of Economics". Because morality is associated with welfare of mankind whereas economics is a science of human welfare. So immoral things and activities have no place in Economics as they are against human welfare.

5. No space for Economic Planning.

This definition has given no concept of economic planning which is an indispensable part of modern economics. Economic growth can be accelerated by making economic planning for using scarce resources.

CONCLUSION

In spite of above mentioned defects this definition has many advantages over the previous definitions.

COMPARISON

Alfred Marshall

1. Only those human activities which are performed in daily life are included in the definition of economics.
2. It includes in economics only those human efforts which are closely related with the attainment of material requisites of human well being.
3. Marshall by using the word "Material welfare" has made the scope of Economics limited.
4. Marshall declared economics as a social science which concentrates on human welfare.

Prof. Robbins

1. All those activities which are included in the scope of Economics related with unlimited wants and limited resources have been discussed under it.
2. Each and every human effort is included in the scope of economics which is related with the fulfillment of human wants both material as well as non-material.
3. Robbins by creating relation between limited resources and unlimited wants has widened the scope of Economics.
4. Robbins declared economics a neutral science like physical sciences which is not concerned with goodness or badness of human activity.

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| 5. Marshall frequently used the word "welfare" in his definition which is a state of mind and cannot be measured in numbers. | 5. His definition is clear which revolves around limited sources and unlimited wants. |
| 6. This definition is related with modern explanations in which economic planning has a central place. | 6. This definition has not given any space to economic planning. |
| 7. The core and crux of economics is human welfare. | 7. The core and crux of Economics is economic problem. |
| 8. Economics is a normative science. | 8. Economics is a positive science. |

J.M. KEYNES'S DEFINITION (1883 – 1945)

Keynes in his book "General theory of employment, interest and money" published in 1936 gave a modern definition of Economics.

"Economics is a science which creates employment opportunities and form ways to increase GNP by making efficient utilization of the scarce resources"

SCOPE OF ECONOMICS

Now to know what types of problems are discussed under economics we discuss the scope of Economics for this purpose. We have to consider the following facts:

1. Why an economic problem arises?
2. Whether it takes into account individual effort or collective human efforts?
3. Whether it is a science or an art?

ECONOMIC PROBLEM AND IT'S NATURE

As human wants are unlimited and resources for the fulfillment of those wants are limited so man tries to fulfill his maximum wants with these limited resources. This give rise to Economic problems, because all wants cannot be fulfilled simultaneously. So human beings set priorities in their wants that is why economics is called the science of choice as Economists say.

"Where there is a problem of choice that is an economic problem".

If, any of the key words explained in the definition of Robbins is absent then there would be no Economic Problem e.g. If wants are limited then no economic problem would arise, similarly if resources are not scarce then there would be no economic problem. Again if resources have single use i.e. no alternative uses then there would be no problem of choice. Moreover if all human wants were equally important even then there would have been no economic problem.

INDIVIDUAL AND COLLECTIVE STUDY

Generally, collective economic problems are being discussed in the subject of Economics. These collective behaviours help in formulating economic theories and laws. Hence economics is related with collective economic efforts of human beings.

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IS ECONOMICS A SCIENCE OR AN ART?

There is difference of opinion among economist on this matter. However we will first describe meaning of Science and Art.

MEANING OF SCIENCE.

"Science is the combination of informations about the realities which have been collected under neutral observation and there is a relationship between reasons and results"

However science can be divided into two parts.

- (i) Positive Science
- (ii) Normative Science

(I) POSITIVE SCIENCE

If we give a neutral explanation of the causes and results of an economic problem and explain the things "As they are" then this is called positive science. So the neutral study about the realities of a single unit of the universe and the establishment of relationship between reasons and results is called positive science.

NORMATIVE SCIENCE

The neutral study that about realities of any unit of the universe and the establishment of relationship between reasons and results and also adding up opinion about this relationship that how these relationships should be is normative science. So, when we give opinion that "What ought to be" is normative science.

MEANING OF ART

"Application of science to attain a particular purpose is called an art" e.g. the student of Engineering when studying books and attending lectures is learning science but when he uses his knowledge to handle a machine he is showing his art.

Now if we look at economics it is both a science as well as an art. Because in Economics we establish relationship between causes and effects and develop laws and theories. We also apply those laws and theories to resolve some economic problems.

Classical economists, such as Malthus, Ricardo, J.S. Mill and N.W. Senior regarded economics as positive science. Robbins also validated classical views. Whereas Neo classical economists Marshall, Pigou, Canon considered economics as normative science as well.

If we take the case of poverty in Pakistan the explanation of causes and effects of poverty make it a positive science. But when economists suggest measures to control or reduce poverty then this becomes the matter of normative science. When the suggestions are given practical shape it becomes art. Hence, it is proved that Economics is not only a science but also an art.

ECONOMIC LAWS

Generally by law we mean those rules and regulations formulated and enacted by a Govt. or an agency. Their compliance is obligatory on each and every person. If anyone disregards or disobey these laws he can be punished and penalized for that. But in academic

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sense by law we mean any act which is repeatedly exercised and gives same result, becomes law.

Every discipline has its own laws e.g. physics explains law of gravity. Chemistry which says Hydrogen and oxygen if mixed with ratio 2:1 makes water. Similarly economics has its own laws such as law of demand, law of diminishing marginal utility, law of increasing returns etc. So according to Marshall.

“AN Economic law is a statement that a certain course of action may be expected under certain conditions from the members of society”. Prof. Ne-Vin says,

“Economic laws are statements of tendencies that are likely to result from certain causes”.

THE NATURE AND CHARACTERISTICS OF ECONOMIC LAWS

Economic laws have following characteristics:

1. Lack exactness and accuracy

As economic laws are related with human behaviour which changes over time. Thus Economic laws also change whereas physical sciences law are permanent and more exact because they are related with matter which do not change over time, As matter being a lifeless thing cannot behave like human beings which are living creatures.

2. Conditional

Economic laws are always hold good in certain conditions. These conditions are made under certain assumptions e.g. law of demand states that there is inverse relationship between demand and price while other things are hold constant. “Other things” include, income, taste, fashion, habits, number of consumers, price of substitutes etc. (Y.T.N.Pi)

3. Qualitative and Quantitative

Economic laws are generally qualitative in nature. These laws explain the relationship but not the degree of relationship e.g. law of demand states that an increase in price results “decrease in quantity demanded but by how much amount is not explained.

4. Lack of Predictability:

As economic laws are made on assumptions so they cannot be used for prediction. Furthermore changing human behaviour, technology, political conditions also make it difficult to use them for prediction.

5. No Punishment or Penalty

If economic laws are not obeyed then no penalty can be labeled against the person who violates that law e.g. if against law of demand, at higher price a person does not reduce his demand. Then, he is doing harm to himself without harming anybody else thus he cannot be penalized or punished.

6. More reliable as compared to other social sciences laws

Laws of economics are more reliable as compared to the laws of philosophy, sociology, psychology etc. In economics money is used to measure various changes in the economy, while other social sciences do not have such a valuable tool to be used.

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7. Optional

Laws of Economics are optional in nature. It is not obligatory on each and every person to abide by these laws.

COMPARISON OF ECONOMIC LAWS WITH OTHER LAWS

1. Economic laws vs State laws

Laws of the state are made by the legislature and generally in written form. People have to abide by these laws. There is a complete enforcement body to implement these laws. If anyone violates these laws he is liable for punishment.

Economic laws are not made by legislature. Neither there is any executive body to enforce those laws nor there is any punishment if someone violates these laws. However the violation of economic laws may result in wastage of economic resources of an individual or society. As against state laws, economic laws cannot be abrogated.

2. Economic laws vs Moral laws

Customs, traditions and the most practiced values of the society based on the teaching of religion are called moral laws. These laws generally advocate negation of "evils" and promotion of welfare and goodness. These laws are generally universal and accepted in all the religions of the world such as "Always speak the truth" "Do not deceive anyone" "Do not back bite", "help the poor" etc.

If these laws are violated then there is no strict penalty by the state but the status and prestige of the person who violates these laws is lowered in the society.

Economic laws show general tendencies of the society. If no one follows these then there is no harm to society but to the person himself. However economic laws based on moral values lead to economic growth and development as economics of welfare, according to Pareto.

3. Economic laws vs Physical (Natural) Sciences laws.

Laws of natural sciences such as physics and chemistry are relating to matter, which is lifeless. So the repeated exercise will give the same result. Hence physical laws are of permanent nature and have universality and exactness e.g. law of gravity and H_2O is true in all the world.

Laws of economics, on the other hand are related with collective human behaviour and state of mind. So they cannot be exact, universal and permanent, they have no power to predict. They change with the change in circumstances or human behaviour.

4. Economics laws vs Laws of Games.

Every player has to observe certain rules and regulations when he plays a game. Any violation of such rules may cause his disqualification from game. But economic laws have no such compulsions.

METHODS OF ECONOMIC ANALYSIS

There are two methods by which the laws of social and physical sciences are derived.

1. Deductive Method
2. Inductive Method

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Deductive Method

This method was generally applied by classical economists such as Ricardo, Senior, J.S. Mill etc. In this method "we move from general to particular" and develop laws e.g. man is mortal and Ahmed is also human being so he is also mortal. Similarly it is generally seen whenever the price of a good rises it's quantity demanded falls. So this can be true for any particular good whenever this method is used following things are taken into count.

1. General facts are collected first of all.
2. Certain results are derived from these facts.
3. Then these results are verified.
4. The relationship between these facts and their results are given the name of law.

The main demerit of this method is that the facts under study may be true under certain conditions and assumptions. So these facts may not give same result under changing circumstances.

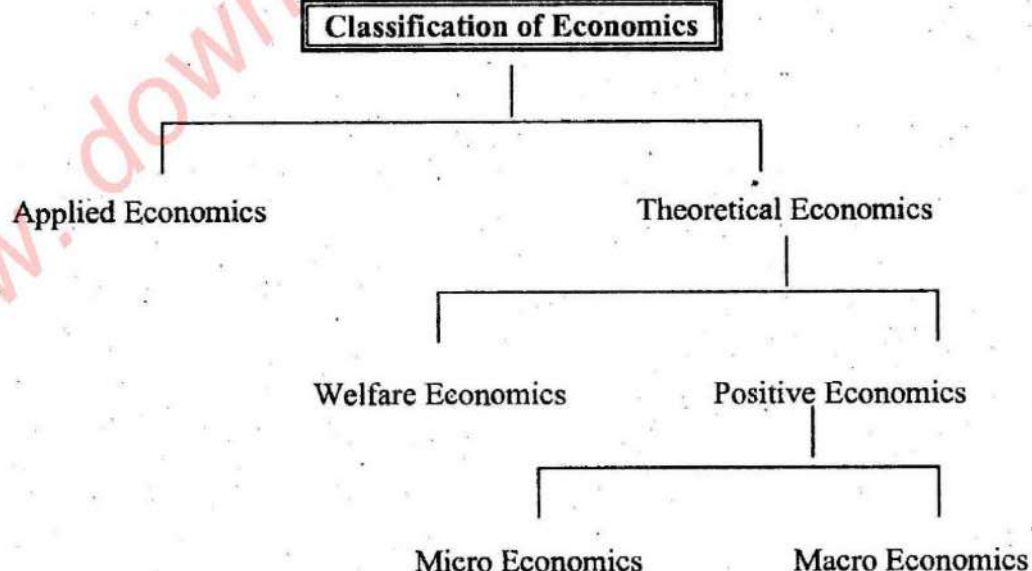
Inductive Method:

This is an historical method. It was adopted by Fredrick of Germany and the American and U.K. experts. In this method "We move from particular to general" e.g. Ahmad has died because he was human being so all human beings are mortal. Here following things are taken into consideration.

1. Initially, data is collected and facts are analysed neutrally.
2. Then data is arranged and analysed.
3. After analysed results are obtained and then laws are established.

This method has a merit that laws are established after carefully analyzing the facts and data which result in greater accuracy. This method is used in modern research. However both methods have merits and demerits so it is generally suggested that the blend of these two methods could give better results. According to Marshall.

"For scientific research these two methods are as important as two legs to walk"



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Theoretical Economics

In this part the basic laws are inferred by analyzing the Economic system of various countries and carefully observing the facts and figures e.g. law of demand, law of diminishing marginal utility etc. In this part theory of consumer behaviour, theory of production and trend of international trade are observed. It can be further divided into two parts.

- (i) Positive Economics
- (ii) Welfare Economics

Positive Economics

Classical Economists like Ricardo, Mill and Senior and Later Robbins and Keynes have taken economics as positive science. In this part facts and results are explained, "As they are" without adding any opinion by the Economists.

WELFARE ECONOMICS

Marshall, Pigou, Canon declared Economics as a science of material welfare. They stressed that purpose of the study of Economics is to achieve basic needs. For that reason they are called "welfare economists". Positive Economics is further divided into two parts

- (i) Micro Economics
- (ii) Macro Economics

Micro Economics

Micro is a Latin word which means one millionth part. So when we make individual analysis of economic units then it is called micro economics e.g. consumer's behaviour, Firm behaviour, price mechanism etc. So the subject matter of Economics includes.

1. Price Theory

In this price mechanism is studied. How it is used to bring about equilibrium between demand and supply.

2. Consumer Behaviour

In this it is analysed that how a consumer behaves in the market. How he maximizes his satisfaction from limited resources.

3. Behaviour of Firm

In micro Economics it is also analysed how a firm achieves optimum combination of factors of production to maximize its profit. Both equilibrium of firm and industry are discussed in it.

4. Theory of the Distribution of Wealth

It is also discussed in micro economics how the rewards of the four factors of production e.g. rent wages, interest and profit are settled.

5. Theory of Risk and Uncertainty

How a producer and consumer can minimize his risk under the conditions of uncertainty. It is discussed in Game theory.

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MACRO ECONOMICS

Macro means large so, when economic variables are discussed in aggregates, then it is called macro economics according to R.G.D. Allan.

"The relationship between economic variables discussed in aggregate is called macro economics. So in macro economics inflation, unemployment, aggregate demand, aggregate supply, international trade etc. are discussed. Following are the subject matter of macro economics.

1. National Income and Employment

In this part it is discussed how N.I. is collected and measured. What is equilibrium level of National Income. How multiplier or accelerator works to establish equilibrium between aggregate demand and aggregate supply.

2. Business Cycles

It is also discussed in macro economics that why economic activities fluctuate from boom to depression.

3. Money and Banking

Meaning of money, its role, function and use is discussed. How govt. uses monetary. Fiscal policies to achieve economic growth.

4. Public Finance

How Govt. generate resources through tax and non-tax sources and how she allocates expenditures on various heads of the economy.

5. International Trade

Theories of trade and policies to reform trade is discussed. How equilibrium in the balance of payments is achieved and how to correct it.

6. Inflation and unemployment.

Why general price level rises and why there is unemployment, are the pivots around which whole macro economics revolves i.e. the measures to remove unemployment and reduce inflation are focal concern of macro economics.

APPLIED ECONOMICS

Theories, laws and policies explained in theoretical economics, when applied to resolve a particular problem of a country is called applied economics. Here Methodologies are developed to solve economic problems after carefully analyzing it's resources and needs. For example, after analyzing the facts of the agriculture sector in Pakistan we can arrive at conclusion that per acre productivity is low because of the following reasons.

1. Less use of fertilizers.
2. Low quality seeds
3. Traditional technique of Production and illiteracy of farmers.
4. Water logging and salinity.
5. Insufficient irrigation facilities.
6. Fragmentation of land holding etc. so we suggest following measures.
 - (i) Easy availability and use of fertilizers.
 - (ii) Better provision of quality seeds.
 - (iii) Easy availability of Agri-loans.

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- (iv) Use of pesticides to control plant diseases.
- (v) Irrigation facilities.
- (vi) Modern techniques of production etc.

By using these measures per acre productivity can be increased. This is called applied economics.

IMPORTANCE OF THE STUDY OF ECONOMICS

Man study various disciplines to make his life happier and prosperous. Economics is also studied to make life happier and well off. The importance of it's study is divided as under:-

(A) THEORETICAL IMPORTANCE.

1. Maturity of Thoughts

The study of economics enhances man's ability to resolve it's problems rationally. It improves his ability, foster ideas to cope with difficulties arising before him. He can foresee and predict the future on the basis of present wants and can take precautionary measures.

2. Improves knowledge

Understanding of the basics of Economics has become pre-request in modern times. Every one from a common man to high official is caught in Economic problems. Everyone hears about inflation, unemployment, BOP, devaluation, price controls, economic crises etc. So in order to develop an Economic sense among general masses the study of Economics is very essential.

3. Improves arguing power

When someone learns the concepts of economics and their functional relationship with other variables then it improves the arguing power of the person. He can then better explain his point of view. He can give concrete examples from daily life to prove his logic.

PRACTICAL UTILITY

1. Solution of Economic Problems

Almost all the countries of the world are facing different types of economic problems. Such as poverty, unemployment, disequilibrium in BPO, low agri productivity, food shortage, energy crises etc. Economics to a great extent helps resolving these problems in a better way.

2. Helps and guide consumer

Consumer by his limited resources wants to satisfy maximum wants. Here economics through various laws such as law of equi-marginal utility helps to achieve his goals.

3. Helps Entrepreneurs

Main object of the firm is to earn maximum profit by achieving least cost combination of the four factors of production. Economics through pricing theories of factors of production and Iso- quants guide firm achieving her goals.

4. Solution for Traders

Understanding of Economics by traders is important to control market fluctuations.

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5. Guide Labourers

Labourers, generally have weak bargaining power. Which cause their exploitation by industrialists. Economics rules guide them how to increase their power through unions and specialization.

6. Guide Politicians

A good politician should have a complete grasp over the economic areas. So that he should be able to fully understand problems of his country and also to convey his thoughts.

7. Guides Finance Ministers

Finance minister prepares budget of his country. So he must know the sources of revenues and heads of expenditures. How money taxes should be tried to fulfill the need of the country. He should design and well organize tax system to ensure economic growth of his country. This can be done only when he has full knowledge about, concepts, theories and tools of economics.

8. Helps eradicating poverty.

Poverty is the major concern of most of the developing countries. It is economics which provides guidance how to make the best and efficient utilization of resources. It suggests various ways and methods to measure, control and eradicate poverty.

9. Equal distribution of Wealth

Poverty and unemployment are the outcome of unequal distribution of wealth. Here majority is living under object poverty and some elite class have all amenities of life. A good taxation system to a great extent may resolve this problem.

10. Evaluation of the Efficiency of Factors of Production

Study of economics helps in evaluating and improving the efficiency of the factors of production. It develops new theories to analyse working efficiency of land, labour, capital and organization. Managerial theories change the concept of management and improve the entrepreneurial skills.

11. Help finding employment

Study of economics enhances the possibilities of finding employment and opens new opportunities for growth. So knowledge of economics helps in better placement in new professions.

12. Makes Responsible Citizen

A good citizen should have a critical analysis of the economic policies formed by the leaders. Knowledge of economics helps him to convey his thoughts clearly to the concerned authorities which can perform a check on the activities of the govt. officials. He can better understand the limitations of the govt. and can stand by the Govt. in the time of need. According to Wootton.

“To be a good Economist is a pre-request to be a good citizen”.

13. Growth by Economic Planning

Knowledge of Economics helps to plan for the better and efficient utilization of resources. This enhances the growth rate of the economy.

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OBJECTIVE QUESTIONS

Select and tick (✓) the correct answer.

1. Who declared economics as "Science of Wealth".
(a) Piogu (b) Adam Smith (c) Robbins (d) Keynes
2. Who called economics "science of material welfare".
(a) Ricardo (b) Keynes (c) Marshall (d) Malthus
3. Who called economics as "Positive and Physical Science".
(a) J.S. Mill (b) Robbins (c) Canon (d) J.B. Clark
4. Who is called founder of "classical school of thought".
(a) Pigou (b) Robbins (c) Adam Smith (d) Jhonson
5. Who is called founder of "Neo-Classical School of thought".
(a) Marshall (b) Keynes (c) Malthus (d) M. Friedman
6. Which aspect of human life is focused in economics
(a) Political (b) Moral (c) Economic (d) Social
7. Macro Economics deals with
(a) Consumer's behaviour (b) International trade
(c) Firm's behaviour (d) Price mechanism
8. Which laws are comprehensive and universal
(a) Game laws (b) Physical sciences laws
(c) Economic laws (d) State Laws
9. Two branches of positive science are:
(a) Theoretical and Applied Economics
(b) Welfare and Development Economics
(c) Micro and Macro Economics
(d) Agricultural and Industrial Economics
10. Economics by its scope is which type of science.
(a) Normative (b) Art (c) Art and science (d) Science
11. Which behaviours are studied in Economics
(a) Individual (b) Collective (c) Psychological (d) Both a & b
12. Who introduced marco economics
(a) J.B. Clerk (b) J.M. Keynes (c) N.W. Senior (d) Marshall
13. The subject matter of economics is:
(a) How to achieve money (b) How to distribute wealth
(c) How to fulfill unlimited wants with limited resources
(d) How to fulfill all desires.
14. According to Marshall which activity is not included in economics
(a) Working of labour in factory. (b) Preparation of shoe by cobbler
(c) Regularly saying of prayers (d) Making of furniture by carpenter

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15. Adam Smith belonged to
(a) Ireland (b) Scotland (c) Wales (d) Queensland
16. Which laws are self imposed by the society for it's prestige and moral uplift.
(a) States laws (b) Moral laws (c) Economic laws (d) Game laws
17. Who is called "father of Economics"
(a) Ricardo (b) Marshall (c) Adam Smith (d) Pigou
18. Which one is non-economic activity
(a) Pleading of lawyers (b) Teaching of teacher
(c) Exercise for health (d) Sewing cloth by tailor
19. Who opposed Govt. intervention in Economics
(a) Classicals (b) Modern economists
(c) Monetarists (d) Supply side economists
20. Which laws are conditional?
(a) State (b) Social (c) Moral (d) Economic

DESCRIPTIVE PART - I

SHORT NOTES

- 1. Explain four pillars of economics given the definition of Economics by Adam Smith?**

According to Adam Smith, There are four pillars of economics i.e production of wealth, Consumption of wealth, distribution of wealth, Exchange of wealth.

- 2. Explain definition of Alfred Marshall?**

According to Alfred Marshall

- "Economics is a science which studies human behavior which is related with the ordinary business of life. It deals with that part of individual and collective human efforts which are closely related with the attainment or with the use of material requisites of well-being."

- 3. Explain three demerits of definition of Marshall?**

- i) Economic Problems of all persons are not covered,
- ii) Division of activities are irrational,
- iii) Ambiguous concept of welfare.

- 4. Explain definition given by Robbins?**

According to Professor Robbins :

- "Economics is a science which studies human behavior as a relationship between multiple ends and scarce means which have alternative uses"

- 5. Explain Key words of the definition given by Robbins?**

The definition has following key words:

1. Multiple ends
2. Scarce Resources

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3. Alternative uses of resources.

4. Ends differ in importance.

6. Explain four merits of the definition given by Robbins?

1. More realistic

2. Comprehensive and scientific

3. Broader Scope and neutral Science.

7. Explain the difference between Micro and Macro Economics?

Micro means one millionth part, and in this we analyze economy in individual and small units i.e. consumer's behavior, supply, demand, price determination etc. whereas macro means large, we analyze problem at national and at international level in it. National Income and employment, aggregate demand, Aggregate supply etc.

8. What is Science?

Science is the combination of information about the realities which have been collected under neutral observation and there is a relationship between reasons and results.

9. Explain the meaning of Art?

Art means the application of science to attain certain purpose e.g. the student of Engineering during studies learns Science but when he uses his knowledge to handle machine, he shows arts

10. Differentiate between positive and normative science?

When we give neutral explanation of the causes and results of an economics problem and explain it "As they are" this is called positive science whereas; normative science we not only discuss resources but also give opinion for its solution.

11. What are economics laws?

Professor NE-Vin says "Economic laws are statements of tendencies that are likely to result from certain causes". These are related with human behavior when an action is repeated again and again the result remains the same that becomes law. Such as law of demand etc.

12. Explain five features of economics laws?

I. Lack Exactness and accuracy

Economics Laws are

II. Conditional

III. Optional

IV. Unpredictable

V. No fine or punishment if not obeyed.

13. What is an economic Problem?

Economists say:

- Where there is a problem of choice that is an economic problem" when there are many alternative options for choice, then the selection of the last becomes an economic problem

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14. What is positive Science?

If we give a neutral explanation of the causes and results of an economic problem and explain the things "As they are" then this is called positive Science.

15. Explain three differences between state laws and economic laws?

State laws are made by legislature and people have to obey these, in case of any violation they may be punished. Whereas; economic laws are natural tendencies. If violated there is no punishment by any authority.

16. Discuss subject matter of economics?

Economics is a vast and useful subject which covers all the aspects of life. It's study enhances human ability to resolve its problems and guides him to satisfy his unlimited wants with his limited resources. It provides guideline to traders, laborers, politicians and to finance minister in solving their problems and rapid economic growth.

17. How the word "Economics" was originated?

The word Economics has been derived from the latin words "Oiko Nomos" which means house hold budget. Later on this word was used on state affairs called "Polos". For this reason it was called "political economy". Later on it was regarded as "Economics"

18. Economics is a science of wealth Argue?

According to Adam Smith economics is a Science of wealth. But this statement created so much misconception as others mistakenly believed of wealth/money alone as wealth. Wealth by itself is not a bad or good but it's use makes it so. It can be spent on welfare projects or on wasteful projects. Whereas anything which carry utility, scarcity and transferability is called wealth.

19. Who were "Classical Economists"?

Adam Smith was the pioneer of "Classical school of thought" and his contemporaries were J.S, Mill, N.W.Senior, Malthus, Ricordo and F.A Walker.

20. Explain three merits of the definition given by Marshall?

- I. Social Science Concerned with daily routine activities
- II. Coincides with Modern definitions.
- III. Wealth as a source of material welfare (Welfare economics)

21. Compare economics laws with physical sciences laws?

Laws of physical sciences such as chemistry, physics etc. are related with matter and repeated exercise will give the same result e.g. laws of gravity and H₂O. On the other hand economic laws relate with human behavior and state of mind. So, they cannot be exact, universal and permanent.

22. Explain the difference between Marshall and Robbins point of view?

Marshall includes only those human efforts in economics which are related with the attainment of material requisites of human well-being. Whereas prof. Robbins. includes both material and non-material requisites which relate with fulfillment of human wants.

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23. Explain the difference between inductive and deductive method?

In inductive method we move from particular to general e.g. Ahmed has died because he was human being so all human beings are mortal. In deductive method we move from general to particular e.g. man is mortal and Ahmed is also human-being. So he is also mortal.

PART - II

1. Explain the view of Adam Smith about Economics. Bring out the short comings also.
2. What is an economic problem? How it originates Explain in the context of the definition of Robbins.
3. Give Marshall's definition of Economics. Also point out it's merits and demerits.
4. Explain Robbins definition of Economics. How it is preferable to Marshall's definition.
5. Which definition of economics is most authentic and reliable according to you?
6. Is Economics a science or an Art? Give argument in our favour.
7. Explain the nature and characteristics of economic laws.
8. Lime light the scope and subject matter of economics.
9. Explain the importance and utility of the study of Economics.

